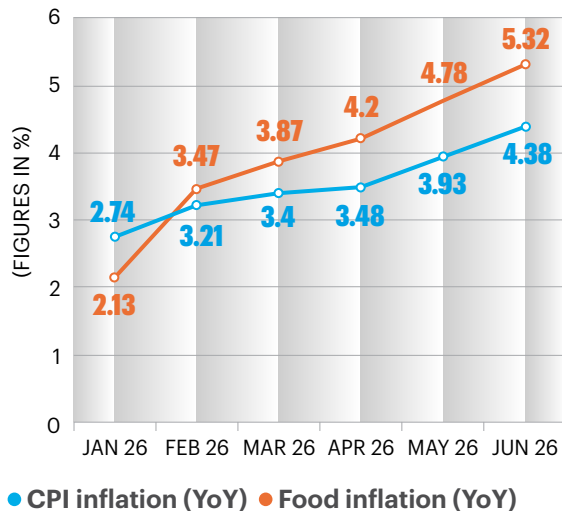


INFLATION ON THE RISE

● Retail inflation breached the RBI's 4% target in June and rose to 4.38%



SOURCE MoSPI



A worker unloading LPG cooking gas cylinders

Milk prices have increased by ₹2 per litre. HUL has increased detergent prices by 5–11%. Britannia has flagged imminent price hikes to offset a 20% spike in fuel and packaging costs, while Dabur has raised prices within its oral care and haircare portfolios. These are just a few examples.

Far from Delhi-NCR, in Mumbai, retired homemaker Rupali Sheth notes that prices of daily household staples have risen in the last few months. The 70-year-old, however, says the prices haven't affected her significantly and is not looking to cut down the spends.

Back to the capital, in Delhi, Pooja, 42, who works as a cook, says that the biggest impact on her monthly budget has come from

the price of cooking gas—a 14.2 kg cylinder is priced at ₹942. “Prices of almost everything has risen in the last few months but there is no option. We used to save a few thousand rupees every month, but now we don't save much,” she says.

Back home, people in her village in Western UP are more cautious about unnecessary expenditure. “It's been raining on and off, but everyone has heard that the rains may not be too good this year. So, they have to be watchful on spending. If the crops fail, their entire investment (in farms) and earnings will be wiped off for the year,” she says.

Consumers, across income levels, seem to be feeling the pinch. This may continue at least for the next few months as a combination

of the West Asia crisis and below average rains along with job cuts and uncertainty about salary hikes are making them wary of too much spending. This holds for both urban and rural households.

But the impact varies from income to income. Suresh Sadagopan, Founder of Ladder7 Financial Advisories explains this and says that typically in upper middle-class households, groceries and fruits and vegetables take up less than 20% of the monthly bill. “In times of high inflation or a sudden increase in prices of some food items, the impact on these households is usually minimal. However, for lower to middle income households, groceries and fruits and vegetables take up between 35 and 60% of the monthly budget for